

Gold Class

Among all the asset classes, the yellow metal gives the highest return

STOCKS

1-Year Returns **-52%**
3-Year Returns **-7.39%**

GOLD

1-Year Returns **29%**
3-Year Returns **95%**

GILTS/GILT FUNDS

1-Year Returns **21%**
3-Year Returns **1.25%**

BANK FIXED DEPOSITS

1-Year Returns **8-10%**
3-Year Returns **7.5%**

Sensex

Negative returns of 52 per cent mark the past one year



Values refer to first transaction day of every month
Source: BSE

ney, bank deposits have soared from Rs 25,61,837 crore in January 2008 to Rs 32,05,302 crore in January 2009, clocking a year-on-year growth of Rs 6,28,642 crore. If the hope of earning stable returns from gold is attracting new investors, the disenchantment with other long-term asset classes like real estate and equity is driving savings into such unproductive assets. Says Hemant Kaul, executive director at Axis Bank: "A lot of money moved from demand deposits to term deposits around the October-November period as interest rates went up. But with interest rates softening, this trend may reverse."

Steady flow of money into gold and fixed deposits is not a novel phenomenon, but in times like these when Indian industry needs capital, money sitting in fixed deposits and bank lockers in the form of gold is not good news for economic growth. The Government may well argue that the normal function of a bank is to take deposits from the general public and lend it to individual and corporate borrowers. So increasing term deposits is good for economic growth because for every Rs 100 that a bank collects by way of deposits it can lend about Rs 70. The rest would be invested in government securities and held as cash with the RBI. Given that banks have become risk-averse, availability of funds to corporates has shrunk dramatically. Explains Vetri Subramaniam, head of equity funds, Religare Asset Management Company: "In the three months ended January 30, banks have turned risk averse. They have collected incremental deposits to the tune of Rs 1,50,000 crore during this period but loans extended by them have dropped by Rs 15,000 crore. The

money raised from deposits has been invested in government securities." While banks are seeing a surge in time deposits, a similar surge in non-food credit is not visible.

On a weighted average basis banks are probably earning less on this incremental amount than what they are paying for the deposits. In effect, they are willing to suffer a loss of interest income rather than risk capital by lending. "Bank lending is driven by risk perception, and a high savings rate will start positively im-



High savings rate will positively impact the economy when risk aversion diminishes."

SANDESH KIRKIRE,
CEO, Kotak Mutual Fund

pacting the economy when risk aversion diminishes," believes Sandesh Kirkire, CEO, Kotak Mutual Fund.

The investments made in any country are primarily funded out of savings, which get channelised into productive sectors either directly or through banks and other intermediaries like mutual funds and insurance companies. The sustained rise in savings rate from less than 25 per cent levels in early 1990s to the current rate of 35 per cent is one of the key drivers for India's shift to 7-9 per cent growth. This is because the higher savings have been utilised to fund economic expansion. Today if the savings rate does not translate into investments, the slowdown may well become a protracted one. ■